

MARKING SCHEME

6.2 RELATIVE PRICE AND THE LAW OF DEMAND

1985/AL/I/06 C	1996/AL/I/12 D (deleted)	2002/AL/I/15 B	2009/AL/I/11 B (54%)	2015/DSE/I/18 C (53%)
1985/AL/I/29 C	1997/AL/I/08 D	2004/AL/I/21 A (78%)	2010/AL/I/09 B (64%)	2016/DSE/I/18 D (44%)
1986/AL/I/26 D	1997/AL/I/11 B	2006/AL/I/08 C (74%)	2011/AL/I/09 B (62%)	2017/DSE/I/13 A (46%)
1989/AL/I/14 B	2000/AL/I/22 D	2007/AL/I/08 C (43%)	2012/AL/I/08 A (55%)	2018/DSE/I/19 B (69%)
1992/AL/I/08 A	2001/AL/I/08 C	2008/AL/I/09 D (70%)	2012/AL/I/09 B (50%)	2019/DSE/I/20 C
1994/AL/I/07 B	2001/AL/I/20 A	2008/AL/I/16 A (80%)	2013/DSE/I/16 A (46%)	2022/DSE/I/18 C
2025/DSE/I/28 D	2025/DSE/I/29 A	2025/DSE/I/30 A		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1993/AL/I/9

The uniform unit tax will lead to the import of higher quality automobiles because the price of a higher quality automobile will fall relative to the price of a lower quality automobile. (With the ad valorem tax, however, the relative prices of high vs. low quality automobiles will remain the same.)

By the law of demand, the quantity of higher quality automobiles rises relative to that of lower quality automobiles.

1995/AL/I/6(c)

The average quality of vehicles operating on the roads will rise.

This is because with a positive price of quota, the prices of higher quality vehicles imported will fall relative to lower quality vehicles.

By the law of demand, the quantity of higher quality vehicles rises relative to that of lower quality vehicles.

1998/AL/I/6

- (a) Because one unit of quota must be used for one unit of garment regardless of garment quality, and because the quota has a positive value, the price of higher quality garment fell relative to lower quality garments under the quota system. Hence according to the law of demand the quantity of higher quality garments demanded by the United States rose relative to that of lower quality garments.
- (b) Because Hong Kong had long been the only place in Asia to allow a free market for quota transactions, the value of the quota was higher and therefore the relative price of higher quality garments fell further. (This explains why Hong Kong became the leading exporter of higher quality garments and why the quota system, designed to protect the garment industry in the U.S., ended up hurting that industry far more than without the quota system -- Hong Kong garments before the quota were generally of such low qualities that they competed with those produced in Mexico or the Philippines, but hardly competed with those produced in the U.S.)

2010/AL/I/8(b)

Exactly the same as shipping the good apples out with transportation cost added, because the unit import tax added will reduce the price of higher quality tyres relative to lower quality tyres.

2014/DSE/II/9(c)

Law of demand: when the price of a good increases, the quantity demanded of the good decreases, vice versa, *ceteris paribus*.

Here the unit of measurement to which the tax applies is 'bottle', rather than volume (e.g., in litres), of soft drinks. When the same amount of tax is added to each unit (bottle), then -- per volume of liquid contained -- larger-bottle soft drinks would become cheaper than the small-bottle ones.

The relative price of larger-bottle soft drinks (in terms of small-bottle ones) thus drops. The law of demand then implies that people would buy more larger-bottle soft drinks relative to small-bottle ones, so the proportion of larger-bottle soft drinks sold in the market would increase. (5)

2016/DSE/II/13(b)(iii)

A lump-sum fee charged on both long-distance and short distance travellers will result in a drop of the price of long-distance flight relative to short-distance flight. A higher proportion of travellers will thus take long-distance flights, increasing the average flight distance. (4)

2021/DSE/II/2

2. When the surcharge is applied equally to long-distance trips and short-distance trips, the price of the former trips relative to the latter would fall. This would lead to a rise in the proportion of passengers travelling long distance. As a result, the average travel distance of late-night taxi passengers would increase.

2023/DSE/II/11(e)

- (e) For fans from overseas, the same amount of travelling expenses is added to both higher-priced and lower-priced tickets. (1)
Inclusion of these travelling expenses would lower the relative price of higher-priced tickets in terms of lower-priced tickets. (1)

2024/DSE/II/10(d)

- (d) As the same amount of lump-sum fuel surcharge is subtracted from the prices of both long- and short-distance flights, the percentage decrease in the nominal price of long-distance flights would be smaller than that in short-distance flights. (1)
The relative price of long-distance flights in terms of short-distance flights increases, resulting in a decrease in the ratio of long-distance flights relative to short-distance flights. (1)
Average flight distance decreases. (1)